3/4/2025 - Public Service Commission

25-E-0072 and 25-G-0073

STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

25-E-0072 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service

25-G-0073 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service

Technical Conferences

DATE: MARCH 4, 2025 at 11:05 AM

LOCATION: Webex

BEFORE: ALJ JAMES COSTELLO

ALJ TARA KERSEY

ALJ NICHOLAS PLANTY

Reported by Cassidy Holland

3/4/2025 - Public Service Commission

25-E-0072 and 25-G-0073

(The hearing commenced at 11:05 a.m.)

ALJ KERSEY: Good morning again everyone. We will now commence with the technical conference portion of today's events. As was described in the February 6th notice, Con Edison will provide an overview of the electric and gas rate case filings. The parties will be afforded the opportunity to ask questions so that they may become better informed about the scope and nature of the rate filings. A transcript of the conference will be prepared, but understand that the presenters are not under oath, and in conformance with the Department's procedural rules, any facts outlined this morning are privileged. 4.4(b) of our rules state, "Facts disclosed in pre-hearing conferences shall be privileged. Except by agreement, they may not be used against participating parties unless proven by independent evidence." Con Edison's presentation is meant to assist the parties in understanding its filing, but the conference does not replace the discovery process, and it should not be treated as such.

With that, I will turn things over to

Con Edison.

MR. KONECNI: Thank you, Your Honors. I'm going to turn it over to Kelly McLaughlin, our assistant controller, to begin the presentation.

THE COURT REPORTER: I'm so sorry, Judge. I don't know who that was --

MS. MCLAUGHLIN: Good morning, everyone.

THE COURT REPORTER: -- that just said that. I'm sorry, Judge.

MR. KONECNI: Oh, I'm sorry. That was Joshua Konecni.

THE COURT REPORTER: Thank you.

MR. KONECNI: And I'm going to be turning it over to Kelly, K-E-L-L-Y, McLaughlin.

MS. MCLAUGHLIN: McLaughlin. And the spelling is on the slide on the screen.

MR. KONECNI: Oh, yes.

THE COURT REPORTER: Thank you.

MS. MCLAUGHLIN: Good morning everybody. As Josh said, I am Kelly McLaughlin, assistant controller here at Con Edison. And I am kicking off the tech conference, and you will see the

agenda on the slide right now on the screen. I have a few of my colleagues here with me to dive a little bit deeper into the respective investments that we have underlying our revenue requirement request.

We have tried to summarize hundreds of pages of testimony and exhibits and white papers into an hour presentation here in about 20 slides. We've culled out the information we think will be helpful to summarize our requests at a high level and provide some context around some key projects and initiatives.

Please feel free to ask questions as we move through the material, although we may have to keep moving at points to keep us on schedule here. So I will kick us off summarizing the financial highlights, and then I will pass it along to my colleagues to go into a bit more detail. With that, Cheryl, can you go to the next slide, please?

The proposed electric revenue requirement. As you can see, the request for rate year one is $1.6 billion, or an 11.4 percent total bill impact. Now more than half of that increase comes from components relating to our rate base and

capital investments, including property taxes, which makes up about 25 percent of the increase. Financing costs comprised 210 million, being driven by a 10.1 percent ROE. We included a lower ROE ask in our filing below what our expert testimony supports in an effort to mitigate the total rate request.

Pensions and OPEBs are a bit of a tricky one. There's some accounting nuances in that bar there. They actually provide an offset to total revenue requirement because it is a credit. However, in comparison to what is in current rates, there is a decrease in that credit, resulting in an increase in costs. The O&M increase is due approximately one third to higher labor costs, mainly in customer ops and IT. We have some increased FTE requests as well as increased operational costs. And finally, the forecasted revenue requirement has about a 3.2 percent increase in sales in our initial filing that is helping to mitigate the revenue requirement slightly. And I can -- if there's no questions on electric, I can move on to gas.

For gas, the rate request for rate year 1 is 440 million, or 13.3 percent total bill

impact. And similar to electric, more than half of that increase comes from components relating to our capital investments. One item that is different in acknowledging the life of the gas system will not be as long as traditionally it had been due to State policy goals. We proposed an accelerated depreciation of gas assets, reducing useful lives by five years. This adjustment accounts for about half of the increase in the depreciation expense. Also note that the property tax was 15 percent of the revenue increase for gas.

Financing pension and OPEB and O&M are the same story as electric. For sales, however, there is a slight increase in the revenue requirement due to a forecasted reduction in sales volumes in rate year one of about three percent versus where we currently are.

So in addition to these amounts discussed directly reflecting revenue requirement, our filing also requests the continuation of EAMs and reconciliation provisions on property taxes, pension and OPEBs, and -- as well as customer expenses -- customer uncollectible expenses, I should clarify.

MR. LANG: Hi. This is Kevin Lang. On the gas depreciation, you said you guys were seeking accelerated depreciation. Is that across the board on every account or just on certain accounts?

MS. MCLAUGHLIN: That's on every account.

MR. LANG: So if you have some account --

MS. MCLAUGHLIN: I'd have to -- let me check.

MR. LANG: Yeah. Go ahead. I'm sorry.

MS. MCLAUGHLIN: Let me -- yeah. Hold on. I have to phone a friend here.

UNIDENTIFIED SPEAKER: Kevin, it's on the long list. It's on the longest-lived assets. It's on the long -- the larger pipes and mains.

MR. LANG: Okay. So it's not on stuff that has, like, a five- or ten-year service life right now, right?

MS. MCLAUGHLIN: Correct.

ALJ KERSEY: Hold on. This is --

MS. MCLAUGHLIN: This is rate two.

Okay.

ALJ KERSEY: Thank you. So this is Tara Kersey. Please just remember to identify yourself when you're talking for the court reporter. Thank you.

MR. LANG: And one other question. In what you have presented here, your shared services, are those just allocated between electric and gas? And could you tell us what the percentages are that you're using in this case, because I don't remember seeing them.

MS. MCLAUGHLIN: So for the O&M expense, is that what you're referring to, Kevin?

MR. LANG: Well, you have shared services --

MS. MCLAUGHLIN: You're just -- O&M.

MR. LANG: I mean, I think there's --

MS. MCLAUGHLIN: Yes. The shared --

MR. LANG: -- capital shared services and there's O&M shared services.

MS. MCLAUGHLIN: So capital does not get allocated to steam. They're separate interdepartmental rent charges that go through for

capital. But for the O&M expenses for shared services -- so IT, cust ops, finance, facilities, that is 77 percent -- it changes up slightly depending on kind of which bucket -- whether or not it's an ANG (phonetic) or customer account. But it's about 77 percent electric, 16 percent gas, and 7 percent steam.

MR. LANG: Okay. And to the extent -- like, for example, your buildings for Irving Place that you have caused -- those are -- in what you just showed in the last two pages, those are included in the electric and gas, right? They're not being dealt with separately?

MS. MCLAUGHLIN: That's correct.

MR. LANG: Okay. Yeah. The reason I was asking is I saw in a filing that you guys just made on capital improvements, you actually had pulled out shared services and were treating them differently from electric CapEx and gas CapEx, which I hadn't remembered seeing before. And I just wanted to make sure that what we're looking at here are totals.

MS. MCLAUGHLIN: I'm not sure -- is

that the long-range planning filing you're referring to, Kevin?

MR. LANG: No. It was a year-end report I just looked at yesterday. I think it was your electric capital, but it showed shared services treated separately.

MS. MCLAUGHLIN: Maybe if we move to -- if there's no other specific questions on O&M, maybe if we move to the next slide on capital, that might help too.

MR. LANG: Yep.

MS. MCLAUGHLIN: So here's a summary of the three-year ask for capital. So you'll see for electric it's 14.6 billion, gas is 3.1 billion, and then I did not include in the buckets but I noted at the below the common, which is 3.9. And that gets allocated 83/17 between electric and gas respectively. So the common is embedded in the revenue requirement ask that you saw in the first two slides. And you can --

MR. LANG: Okay, but --

MS. MCLAUGHLIN: -- maybe give a -- go ahead.

MR. LANG: Yeah. This is Kevin Lang again. Just wanted -- this is actually the other place I had seen it where you have the common capital investments at the bottom. Are those --

MS. MCLAUGHLIN: Uh-huh.

MR. LANG: -- divided between core clean resilience and multi-value? Or how are those allocated amongst the different categories?

MS. MCLAUGHLIN: In the interest of time to submit the slides to everyone last week, I did not include the breakout, but we can follow up with a breakout for the common investments.

MR. LANG: Okay. So there is a breakout. They don't all fall in one category, I guess, is all I was looking for.

MS. MCLAUGHLIN: Yeah, that is correct. So to maybe help describe the categories that we're highlighting on the slide here a little bit. So core, we use that to really talk about the investments that maintain safe electrical -- safe and reliable electric and gas systems, providing the strong foundation for the business as a whole. So traditionally what we've always called a lot of our

investments.

And then we have clean and climate resilience. So those are investments, as we're seeing these emergency policy goals in energy infrastructure, that deliver clean energy, meet customer electrification needs, and are resilient to climate change. And multi-value -- the hard thing with putting these buckets together is that there are a lot of investments that really serve multiple purposes, right? They are part of our core business, but there is also an element of clean and climate resilience to them. So those we have bucketed into this multi-value category.

So as you can see in these pie charts, for electric, 46 percent of the investments are in the core business. And for gas, that's 54 percent over the three-year amounts we're including in our rate filing. And then when you add in the multi-value investments, 95 percent of our capital is in -- between core and multi-value. And for gas, it's virtually at 100 percent. And just in case you're wondering, the clean piece for gas is the methane detector program.

So that summarizes the capital and the revenue requirements slides. If there's no additional questions, I can --

MR. LANG: Yep. No, I'm sorry. This is Kevin. I have --

MS. MCLAUGHLIN: Yes.

MR. LANG: -- one other one. So --

MS. MCLAUGHLIN: Sure.

MR. LANG: -- going back to 2013, Con Edison proposed post-Sandy to spend $1 billion on resilience, and they got approval for that, and they did so. And commencing probably in 2016 continuing into 2019 and then 2022, we pushed very hard that resilience considerations be a core consideration for all of your capital investments in the same way that reliability is. And it's been our understanding that we actually got agreement from the Company on that, and that resilience is now one of those considerations so that when you're doing any of your designs or your construction, you don't only consider reliability, but you consider resilience aspects.

But now we get to this case, and you have this category, which if I'm reading the colors

right, that you have $475 million specific to resilience. Does that mean the Company is now retracted and is no longer considering resilience in its core planning as it has agreed to do in prior rate cases?

MR. KONECNI: This is Joshua Konecni. No, Kevin, that's not what that means.

MR. LANG: Then how is there a separate -- I mean, this has been our point for ten years, that resilience should be just part of your thinking and your design. So we don't understand how there's this separate half a billion dollar category for resilience.

MR. KONECNI: Again, this is Joshua Konecni. Kevin, I believe that that amount refers to the amount that the Commission required -- or the Legislature required us to file a resilience plan. The Commission approved the resilience plan and then directed us to include those investments in the rate case.

MR. LANG: So that's over and above what you are normally doing now?

MR. KONECNI: Those are the

investments that the Commission directed us to include in the rate case.

MR. LANG: I don't remember the Commission directing you to make any specific investments in any prior order.

MR. KONECNI: I would refer you to the Commission's order, which I believe it was in November, on the Company's resilience plans.

MR. LANG: All right.

MS. MCLAUGHLIN: Okay. With that, I'm going to pass it off to my colleague Steve to go through -- start us off with the electric investments.

MR. PUPEK: Great. Thank you, Kelly.

Good morning, everybody. I'm Steve Pupek. And thank you all for the opportunity to present some key elements of our plans for the electric system.

Building a grid that delivers safe and reliable service is the first priority of our engineering and planning teams. We have a robust and comprehensive plan to ensure that the grid continues to deliver world-class reliability, and this provides

a strong base upon which to build out the grid further, to be resilient to the impacts of climate change, and to support the State's clean energy goals. I'm going to present some highlights of our capital plan that support this core mission. Next slide please. Yeah. That's correct.

Our investment falls into six investment categories. System expansion and new business. This category addresses forecasted load changes and new connections on the Company's electrical system. You will see projects and programs in our plan that address load increases and constraints at the system level, all the way down to the specific customers as part of the new business program.

We continue to see load growth throughout the service territory driven by continued development, as well as customers transitioning to electric heating and transportation. We're also ensuring that the system can accommodate change to the generation mix as the energy system continues to evolve. An example of this is with our Jamaica load relief project, where we have -- it's a three-part

project in eastern Queens, where we have a 345 kV transmission substation to supply the Idlewild area station and network split of the Jamaica network to create the new Springfield network.

Next on our list is the risk reduction and reliability. This category focuses on maintaining the operation and performance of the electrical system through proactive replacement and upgrade strategies. Our engineers analyze forecasted loads, system and equipment performance, and other operational data, as well as other pertinent data, to identify underperforming parts of our system or areas where we expect performance to decline. They design solutions to leverage the latest technology and innovative designs to continue to provide safe and reliable service.

For example, in our non-network reliability area -- programs, we focus on the following areas: installation of sectionalizing SCADA equipment to isolate faults and restore customers automatically, circuit reconfigurations, installing loops-sectionalizing circuits that add redundancy to feeders. We look at replacing open

wire with aerial cable, which provides a more -- that's a circuit that's more resistant to tree damage. Breakaway surface connectors -- breakaway rather than breaking the cable and doing more extensive damage, allowing for faster repair and preventing customer outages.

Next category is replacements. In this category --

MR. DIAMANTOPOULOS: Can I ask a question?

MR. PUPEK: Sure.

MR. DIAMANTOPOULOS: Can I ask a question about that category, the last bullet?

MR. PUPEK: Yeah.

MR. DIAMANTOPOULOS: This is George Diamantopoulos for NYCC. Is the Company doing anything different in this category in terms of what it has done in the past? In other words, are you doing anything new? Are you adopting any new methodologies, increasing costs -- which result in increasing costs for this category?

MR. KONECNI: George, can you clarify that question, please?

MR. DIAMANTOPOULOS: Sure. Are you doing -- when you say you're reducing risk and reliability and the Company -- is the Company doing the same things that it has always done, or are you adopting new methodologies and accelerating timelines and things like that?

MR. PUPEK: We're generally maintaining what we've been doing in the past --

MR. DIAMANTOPOULOS: Okay. Thank you.

MR. PUPEK: -- in this category.

MR. DIAMANTOPOULOS: That's what I was trying to figure out. Thanks.

MR. PUPEK: Yep. Sure thing. Any other questions? Okay.

MR. LANG: Yeah.

MR. PUPEK: The next category is replacement --

MR. LANG: Before you leave this page, because --

MR. PUPEK: Yep.

MR. LANG: -- you brought it up, so I'm going to ask a follow up on it. On the prior page, you had given us those pie charts of electric

CapEx. The projects like the Idlewood [sic] project, are they included in these CapEx budgets or are they separate from it?

ALJ KERSEY: Can you please identify yourself?

MR. LANG: I'm sorry. This is Kevin Lang for the City again.

ALJ KERSEY: Thank you.

MS. MCLAUGHLIN: Hi. This is Kelly McLaughlin again. Yes. They are included in the capital slide.

MR. LANG: Okay. Because I noticed again in some other filings that you had a category that you called surcharges, which were being treated separately from things in rate base. So I didn't know whether or not those surcharge categories, which would include Idlewild, it would include Brooklyn Clean Energy Hub. And I think there's probably a half a dozen other large projects.

MS. MCLAUGHLIN: Yeah. So Kevin, the intention was, is once we went into the next base rate filing to include them in that filing. So that's what is reflected in the revenue requirement

and CapEx numbers. It includes all those projects that had been included in other Commission filings.

MR. LANG: Okay. So is it fair to say that these are total numbers, then, that reflect --

MS. MCLAUGHLIN: Yes.

MR. LANG: -- everything you're doing in electric and everything you're doing in gas?

MS. MCLAUGHLIN: That is correct.

MR. LANG: Great. Thanks.

MS. MCLAUGHLIN: Yep.

MR. PUPEK: Okay. I'll move on. The next category is replacements. In this category we replace assets that have failed or are reaching the end of their useful lives and cannot be further repaired during regular operations. The examples here are substation transformer replacement programs, where we aim to proactively replace transformers that are at risk of failure or near the end of their useful lives. Other examples are our open mains program, where we're replacing secondary mains that have burned out in the system. And then finally equipment replacements where we're looking at distribution transformers on the network and overhead

system that are having issues. Next slide please.

MR. DIAMANTOPOULOS: So just one question. This is George Diamantopoulos again. So is the answer to the previous question I asked the same here, that the company is essentially doing the same thing for replacements that it has always done, and has not accelerated timelines or done anything to change what is done in the past here?

MR. PUPEK: Yes. That's correct.

MR. DIAMANTOPOULOS: Okay. Thank you.

MR. PUPEK: Okay. Moving on. Our next category is storm hardening and resiliency. Here we mitigate potential electrical system damage and customer impacts from severe weather events. These are the programs that were approved by the Commission order for the resiliency proceedings. Examples include the substation storm hardening, which is the resurrection of a program from the Superstorm Sandy where the stations are strengthened to FEMA plus five standards. Included is also our selective undergrounding program, our unit substation switchgear replacements, and our primary feeder reliability and resiliency program.

Next is our equipment --

MR. KRAMER: Let me just stop you right there. Hi. This is Steven Kramer with the Department of Public Service. I just want to point out -- and the Commission's order on hardening and resiliency speaks for itself, but while those projects were addressed in that order, the timing and cost of the projects will be reviewed in these cases. So I just wanted to make that clear. Thank you.

MR. PUPEK: Thank you for that. Our next category is equipment purchases. In this category, we purchase necessary critical equipment such as transformers, network protectors, and switches. And the example is our transformer purchasing -- equipment purchases that are used throughout all of our different programs in electric ops.

Next is our environmental category. Here we reduce the environmental impact and comply with environmental requirements. This includes programs to prevent oil leaks from our oil containing equipment from getting into the environment, including regulatory required programs such as the

Spill Prevention, Controls, and Countermeasures program. Some examples are the New Distribution Facility Spill Prevention, Controls, and Countermeasures program, the 57 Block House program that has storage for 1,320 gallons or more of oil. This program is to put in place approximately -- appropriate measures to prevent spills into the environment. The other program is our Oil Minder Environmental program that prevents oil from getting out of our vaults by shutting down some pumps when oil is present in the water. I'll pause for questions.

MR. LANG: Hi. Yeah, this is Kevin Lang again from the City. And I'm confused about your descriptions. And this goes back to the concern I raised earlier. Under the risk reduction and reliability category, one of the examples you gave were breakaway aerial cables so that during a storm, if they're damaged, they've come down and can be very quickly put back up. And yet you have a separate category called storm hardening and resiliency.

If I go back to your resiliency investments post-Sandy, those breakaway area cables

were considered a storm hardening investment. Yet now you're saying they're a risk reduction and reliability. So that leads to the question, what is the difference between risk reduction and reliability and storm hardening and resiliency?

MR. LEARY: Hi Kevin. This is Jim Leary from Con Edison. So the primary difference is, in the resiliency filing there were specific categories that we needed to fulfill in order to meet the requirements of that order, and the plan that we proposed did that. That doesn't exclude us from continuing to build in storm hardening and resiliency that we've sort of always done, as you've mentioned. So you will see things that were considered by many to be resiliency that are in our core plans, as well as what you'll see in resiliency and resiliency filing.

MR. LANG: Is there a reason -- I mean, given the way that you guys are approaching things -- and to be clear, I don't have an issue, because you're doing what you should be doing. Why didn't you push back to the Commission and say, hey, this is all embedded into our normal everyday

projects? We don't need a separate category. What I'm concerned about is that either there's duplicative or unnecessary spending going on, because Con Edison, to be frank, was far and away beyond what every other utility in the state was doing, which you guys well knew.

MR. KONECNI: So Kevin, this is Joshua Konecni. We agree that there is no duplicative spending here. We were taking the state law as it comes and, as you know, the State enacted legislation directing us to file a resiliency plan.

MR. PUPEK: Okay. Any other questions?

MR. KRAMER: I just have a quick question. This is Steve Kramer from the Department of Public Service. This bullet, equipment purchases, reminded me to ask, is there a slide that addresses the Company's proposal -- and I don't remember seeing one, but I just might have forgotten since Thursday -- whether there's a slide that addresses the Company's proposal costs of equipment and such that are impacted by tariffs.

MS. SU: Grace Su with the Company.

There is no specific slide, but there is a proposal within the accounting panel, which would clarify the new law's provisions so that it is very clear that those would apply in a tariff situation when we have additional import tariffs.

MR. KRAMER: Okay. And I have read the accounting panel testimony. I don't recall there being a very specific way of being able to discern the incremental costs of a piece of equipment. Does the Company have a proposal there, or is it something that will need to be fleshed out?

MS. SU: In terms of the tracking?

MR. KRAMER: Yeah. I mean, how are we going to know -- for instance, you bought a transformer -- or you're going to buy a transformer in November of this year. Your rate filing shows a cost that is based on current conditions. But now this thing's coming from Canada, for instance. That's easy, it could come from Mexico. And now there's a 25 or more percent tariff on it. How are we going to be able to discern the delta? Is that just going to be based on -- if you're in the Company's -- would you just do it based on the cost

at the time that the Company filed the rate cases, or is there some other way of tracking that? Just thinking about it.

MS. SU: I think we're looking at -- yeah, we're looking at both.

MR. KRAMER: Okay.

MS. SU: We're looking at impacts of the cost at the time we knew them -- or we made the initial forecasts. And there's an assumption that cost changes after that can be largely attributed to the tariffs. There are also going to be contracts that are going to be renegotiated in certain instances that may be able to clarify the tariff input. We're looking at a lot of different options for the tracking.

We just want to clarify that, in terms of where this would go, we think it is covered by new laws right now. What we wanted to do in terms of the clarification and accounting panel was to think through these issues so that we had the trackers in place, and we knew exactly how it would flow through on an accounting basis.

MR. KRAMER: Okay.

THE COURT REPORTER: Can I get clarification on who that was that just answered that tariff question?

MS. SU: Yes.

THE COURT REPORTER: Was that a Ms. Hugh [sic]?

MS. SU: I'm sorry. That's Grace Su with the Company. I apologize.

THE COURT REPORTER: No worries. It's G-R-A-C-E, S-U-E?

MS. SU: Just S-U.

THE COURT REPORTER: S-U. Thank you.

MS. SU: Thank you.

MR. KONECNI: Thank you, Grace. Appreciate your response.

MR. PUPEK: Any other questions?

MR. DIAMANTOPOULOS: Yes, George --

MR. LANG: I have one if I could --

MR. DIAMANTOPOULOS: Oh, okay. Thanks, Kevin. George Diamantopoulos, NYCC. I was just wondering, does the Company plan on addressing the tariff issue that was just raised by Mr. Kramer in its Company update on April the 10th?

MS. SU: Grace Su for the Company. It's already addressed in the initial testimony. It's in the accounting panel. The only thing that wasn't reflected -- as I said, there wasn't a full slide on it in this deck. But the issue's been raised.

MR. DIAMANTOPOULOS: Okay. Thank you, Grace.

MR. LANG: Hi --

MS. SU: Welcome.

MR. LANG: -- this is Kevin. Grace, I have a different question on the same tariff issue, though. As I understand the tariffs -- I mean, it's a duty that's going to be collected by someone, we may not know who, but then get remitted to customs. And so there's going to be some kind of a document trail that shows what that duty is. It's not -- like, if the piece of equipment was $1 million, it's not suddenly 1.5 million. It's still $1 million. And then there's this 25 percent duty that gets remitted to the government. So isn't there going to be a way to very objectively and very clearly track what the tariff costs are going to be, or am I

missing something?

MS. SU: It's a variety of material supplies, not just equipment. We expect a tariff impact. I think at the highest level, you're right, there should be a very clear 25 percent duty, for instance. It's whether or not you can track that through when we have contracts that bundle things together. That's going to get a little trickier, and we'll have to break that out and have enhanced tracking so that we can show the difference between what is currently in rates and what is incremental.

MR. LANG: Gotcha. Thanks.

MS. SU: Thanks. Okay.

MR. GOHIR: Hi. This is Arslan from staff. I had a general comment, I think, on slide 7. There's discussion on system expansion and new business. When I look at the sales forecast, I think the largest customer class, large commercial, is actually forecast to decrease for the rate year one. And I know there's some increase in small commercial, but that only forms, like, a fraction of the total load. So I'm curious about the system expansion and new business, where that takes place.

MS. SU: This is Grace Su for the Company. Could you restate the question? We actually had a lot of trouble hearing you. I apologize.

MR. GOHIR: Okay. I'll try to speak a bit louder. So this is Arslan from staff. My question is, when I look at the sales forecast by customer class, I'm looking at large commercial, which forms the majority of the load for (indiscernible). It's actually forecasted to decrease by rate year one. And the load growth that takes place in small commercial is only, like, a fraction of the total load. And overall, I think it's only a modest sales growth. So I'm wondering where the system expansion and new business growth comes from.

MR. LEARY: This is Jim Leary from the Company. So our new business -- our new business program has been outpacing its budget for the past three years, and we expect that pace to continue. So that's where we see the cost for that program, and that informs our cost, and also the load letters that we see coming in.

As far as system expansion is concerned, a lot of it has to do with very specific areas of growth. So in each of the networks, we see our new load forecast. We apply that specifically to each of our networks and to our equipment, all the way up to the area substations. And we see overload conditions are forecasted in those areas. And a lot of the system expansion is there to cover those specific constraints. And you will see that spelled out in the white papers and also in our testimony.

MR. SCHULER: Hi. This is Rick Schuler from staff. Is it the case that the actual forecasted megawatt hours is lagging when the load letters are causing the investments to be made?

MR. KONECNI: Hi Rick, this is Joshua Konecni. I'm not sure that we have the person that we would need on the call to answer that question.

MR. SCHULER: Okay. I just chimed in because I I didn't understand Arslan's question to be answered.

MR. KONECNI: Happy to follow up if the --

MR. SCHULER: Thank you.

MR. KONECNI: -- staff has information.

MR. SCHULER: Great.

MR. KONECNI: Okay. We'll hand it off to Christine.

MS. CUMMINGS: Good morning. This is Christine Cummings. I'm going to talk to you about the (indiscernible) --

MR. LANG: Wait, wait. I'm sorry, Christine, before you guys --

MS. CUMMINGS: Okay.

MR. LANG: -- leave electric altogether, you had a proposal in your testimony to move your control center out of New York City into some remote location that's surrounded by fencing and forests. Could you explain -- how is it that in an emergency situation not just your employees but all of the other people that normally would go to the control center would get to this remote location?

MS. LEE: Hi. This is Selena Lee with the Company. So we're not defining it as purely just a remote location. We are scouting a location that fits the security needs and setbacks that are

required by the Company so that we can still maintain all operations and controls and get to our backup control center in due time. So it's not exactly a remote location, but a location that is safe and secure from security issues that we're currently facing.

MR. LANG: Well, the way it was described in the testimony was down a road with a large buffer area, and I can't think of any place in New York City that would meet the way it was described there. And historically, when there's been emergencies, not only have your employees been at the control center, there's been City employees, there's State employees, emergency management personnel. And also the Company holds, depending on the nature of the emergency, every hour, every four hours, every six hours, press conferences or provides information that then gets disseminated out from these varied locations. And I'm trying to understand how that happens when you're not where you have been historically.

MR. KONECNI: This is Joshua Konecni again. Kevin, I think you have some discovery

questions out, and we would consider -- certainly welcome more if you have them.

MR. LANG: I'm just trying to understand it at a high level, because that's what this technical conference is for.

MR. KONECNI: I don't think we have anything to add to Selena's comment about it not being remote in the sense of inaccessible.

MR. LANG: Well, I didn't say it was inaccessible, but there is a concern that during an emergency, when transportation systems may be blocked or shut down, or there's huge delays, that it's going to be very difficult for folks to get to this facility, and that could in and of itself cause delays. And it's a very --

ALJ COSTELLO: Mr. Lang --

MR. LANG: -- substantial investment.

ALJ COSTELLO: Mr. Lang, this is -- let me interrupt you. This is James Costello. You said you didn't see it in the testimony. They responded to you on a high level. If you have questions that go into further that need clarification from the testimony, that's subject to

discovery, which it seems like you have discovery outstanding. So let's please move on.

MR. LANG: Okay. I thought that's what the purpose of the technical conference was, Judge, but --

ALJ COSTELLO: Let's please move on. You can do your discovery questions. You're going to detail beyond what the -- you just said, it's -- you don't see it in the testimony. So if it's not in the testimony subject to -- I'm not arguing with you. I'm stating this. So let's move on.

MR. LANG: Okay.

MR. CARPENTER: Hello. This is Andrew Carpenter with the Department of Public Service. You stated that the movement of the facility is to meet security requirements. By that, do you mean Con Ed's internal security requirements or some regulatory mandate security requirement of some form?

MS. LEE: We're meeting both on security concerns all over. So regulatory as well as Con Edison guidelines.

THE COURT REPORTER: I'm sorry, Judge. I don't know who that was.

MS. LEE: I'm sorry --

MR. CARPENTER: Andrew --

MS. LEE: This is Selena Lee with the Company.

THE COURT REPORTER: Thank you.

MR. KONECNI: Okay. On to Christine.

MS. CUMMINGS: So -- and good morning. This is Christine Cummings for the Company speaking about our gas investments. If you can go to the next slide.

So the focus of the gas capital investment is really on the safety and reliability of our existing customers. We're going to speak a little bit about this program, the Gas Infrastructure Replacement and Reduction program, and that's largely because it is our most proactive safety program. It removes leak-prone pipe from our inventory. The goal here is to get it out of inventory, not necessarily replace it. And so what we're trying to do in terms of this program is really think about how we get rid of the small diameter cast iron, wrought iron, unprotected steel gas mains, the top-ranked risk pipes, and really thinking about how we can mitigate

the risk of a gas distribution event.

At the same time, the team is committed to helping facilitate electrification, working with our colleagues across the Company, including the customer energy solutions team, and electric, and really thinking about the ways that we can remove the pipes from the inventory while still supporting the electrification. And I think sometimes that comes across as, well, they're in conflict, and we really don't view them as such. They are -- it's about that inventory.

And so this is the largest program we have in terms of total expenditures. And again, it is our primary proactive safety program, getting rid of this pipe. Other pieces of the gas rate case are focused around, again, things like natural gas detectors, leak detection, and other things, with the focus being on our current customer base.

So if there are questions about gas, we can take those now. Otherwise, we can move on to Allisyn Glasser, who's going to discuss the IT investments.

MS. GLASSER: Well, good morning. My

name is Allisyn Glasser. I'm the IT vice president of engineering and operations. You can go to the next slide, please. And today I'm going to discuss three main areas: cyber security and physical security, infrastructure and applications, and then enterprise data and analytics. These are three main focus areas in our rate filing.

So a core component of our strategy is really focused on security, and this includes both cyber and physical security. And we really approach this from an enterprise perspective. And it starts with a strong cyber posture and security focus within our own organization, and then through training and training and communication, we really expand that to the enterprise. I apologize. My room's a little dark right here.

Some of the key focus areas in this space, really, include protecting assets through what we call a defense-in-depth strategy. And really, all that is, is layered technologies and layered processes to really secure our networks, assets, and systems. We're also looking to expand some capabilities such as cloud security and network

security and network segmentation. Again, that's a key piece of the strategy. And we're also looking at enhancing processes such as incident response.

We're also implementing new technologies for something called insider threat. And that is really threats posed from employees and contractors. So it's looking at it from a different lens, inside versus externally, attacking the network and the assets. And we're also performing some various threat assessments in this space as well.

MR. LANG: Allisyn, this is Kevin. Kevin Lang, I'm sorry, for the City. Just a clarification. In your second bullet, when I saw network segmentation, you mean your IT networks, not your -- because you do -- you actually guys call it segmentation of your networks. That's not what you're referring to here, is it?

MS. GLASSER: This is IT networks. So for example --

MR. LANG: This is just IT. Okay.

MS. GLASSER: Right. The --

MR. LANG: I see.

MS. GLASSER: -- the technologies that

operate the grid are on a higher value network is what we call versus --

MR. LANG: Yep.

MS. GLASSER: -- let's say where your finance and supply chain reside. But these are IT networks.

MR. LANG: IT, not the physical networks that you have. Okay. Thanks.

MS. GLASSER: Yeah. In this slide it's IT-related.

MR. LANG: Got it.

MS. GLASSER: The next key area that we have a large investment is on the upgrade, enhancement, and maintenance of things like our data centers, our networks, applications, as well as computing devices such as laptops. So similar -- my business partners, right, in the operations side of the house, redundancy, reliability, resiliency, they're all a key part of our system design and architecture, and a key focus area for us. So we make continual investments to modernize old applications and infrastructure. This is really key for two main reasons.

The first is -- prevents, obviously, operational issues. The second, it prevents against cyber risk. So vendors really only support applications and hardware for a finite period of time. So it's really important that we keep them current, again so we get the appropriate patches, so we prevent cyber risk. And then of course operational issues as well. Upgrades also provide some new business functionality to enhance the processes within the business too.

And then the last area I'll focus on is our data and analytics program. And the key here is really for us to be able to make data-driven business decisions. And we're looking to expand this program. So we have -- similar to the application side of the house that I just spoke about, we have platforms that we manage and upgrade. But the key here is that we're really trying to develop standard processes, tools, and technology across the enterprise that support all our various business partners.

We have a couple of major programs on the business side in the analytic space, asset

management, electrification, clean energy, the customer experience, and forecast and planning. And the goal really, from an IT perspective, is that we govern these programs, we understand the linkages, and then we can really create reusability across the different use cases. The overriding purpose of the Company's IT proposed investments is to enhance security as well as improve our business operations.

Any questions?

MR. DIAMANTOPOULOS: Yes. George Diamantopoulos for NYCC. Is the company realizing any cost savings through the use of artificial intelligence or any other of your other categories here?

MS. GLASSER: Yeah, I would say --

MR. DIAMANTOPOULOS: And is that reflected in the filing as well?

MS. GLASSER: Yeah. I would say we're kind of early in the use case development for artificial intelligence. We have some, I'll call it, like, machine learning type use cases. But we do develop business cases as value models, and those are all part of the filing.

MR. DIAMANTOPOULOS: So any cost savings?

MS. GLASSER: We basically analyze each use case. If there are cost savings -- there's generally more cost avoidance I would say, right, than cost savings. Some of this stuff really just allows us to kind of keep up with the demand. But that would be included -- it's really analyzed per specific use case and per specific program.

MR. DIAMANTOPOULOS: Okay. But the Company keeps records or could quantify any cost avoidance or cost savings?

MS. GLASSER: Yes.

MR. DIAMANTOPOULOS: And does it also expect to have future cost savings, say within rate years two or three?

MS. GLASSER: So again, you'll --

MR. KONECNI: So this is Josh Konecni --

MS. GLASSER: Go ahead, Josh.

MR. KONECNI: -- again. I think, as Allisyn said, that information is in the filing.

MR. DIAMANTOPOULOS: In the cyber --

in the cyber testimony?

MS. GLASSER: That would be in the IT panel. Well, we separated it out.

MR. DIAMANTOPOULOS: In the IT panel.

MS. GLASSER: Yeah. There's cyber -- there's a cyber and a physical panel, and that's in the IT panel.

MR. DIAMANTOPOULOS: Okay. Thank you, Allisyn. Thank you, Joshua.

MR. LANG: Hi. This is Kevin Lang. Just one from the City. Under the enterprise data analytics piece of this, in some prior cases the Company had talked about once it had essentially finished its AMI build out, which you for all intents and purposes have done, there was talk about being able to leverage your data and your data analytics and commercialize it and potentially sell it. And did I miss something? Is there anything here in your testimony about commercializing the data analytics? I did see discussion of how you're using it to leverage your own processes, which makes sense. I just want to make sure I didn't miss something there on using it for other purposes or selling it.

MS. GLASSER: No. We are not allowed to sell our data, so this is all for internal use. I think we all have some -- you may be familiar with some external data sharing partnerships, specifically with the New York State -- the Public Service Commission and NYSERDA, the IEDR program. But we cannot sell our data.

MR. LANG: Okay.

MR. CARPENTER: Hello. This is Andrew Carpenter with the Department of Public Service. So say that the --

UNIDENTIFIED SPEAKER: Hold it back and forth in the middle. Take it off, and then when you go that way --

THE COURT REPORTER: I'm sorry, Andrew, just a little background noise.

UNIDENTIFIED SPEAKER: That's all right. So yeah. That's --

THE COURT REPORTER: Judge, I'm not getting any of it.

ALJ KERSEY: I just want to remind everybody to -- that's not speaking to be on mute, please. This is Tara Kersey.

Go ahead, Andrew.

MR. CARPENTER: Yep. Sorry. So you say that these projects and the spending associated with it is what is necessary to keep up with current trends. And the trend is vastly increased spending year over year. And I believe within testimony, you note that the costs for data processing and so forth is expected to also increase. So I guess I just wonder how the cost avoidance year over year is expected to interrelate with those increased costs.

MS. GLASSER: So I think the increased cost -- there's costs from an IT perspective. And we continuously look at managing our budgets, whether it's cloud subscription, right, however we're going to manage the costs associated with data and analytics. And then from a business perspective there's different types of value. There's enhanced safety. There's cost avoidance, right? There's productivity. There's different types of savings that each of the businesses then gets from it.

And that's how we look to identify use cases by developing that value model and understanding what we want to prioritize as a

company. So I think there's two different -- you have the IT costs, but then you also have the business value that we get out of the different use cases.

MR. CARPENTER: Is that broken up in any way within the white papers or testimony or anything?

MS. GLASSER: Well, you'll see in the IT white paper, you will see the spend and the cost for the data and analytics programs. That's definitely in the white papers.

MR. CARPENTER: But no separation between the business value and the other piece?

MS. GLASSER: I'm sorry. That's all -- so each program that I taught, like asset management, clean energy, there's a separate white paper for each one of those programs. And then we have the larger enterprise spend. That's also in there as well. So that's all in the white papers.

MR. CARPENTER: Okay. Thank you.

MS. GLASSER: Any other questions? Okay. With that I'll turn it over to Mike. Thank you.

MR. MURPHY: Hey. Thanks, Allisyn. Hello, all. This is Mike Murphy for the Company, vice president of customer operations. Just to highlight some customer experience investments.

Overall, we continue to make investments focused on providing value to customers, really meeting their rising expectations in what is an increasingly complex environment. And our investments really included in three buckets, which we'll talk about today: expansion of our workforce, continued capital investment in customer technology, and a focus on our most vulnerable customers. So you'll see that on each of these three slides, we'll cover each of those areas.

So the first slide here around expanding our customer ops workforce, the overall primary driver for this expansion is historically high customer arrears, which have grown since the start of the pandemic to -- currently total 1.4 billion associated with approximately 500,000 customers. So our goal with these investments is to overall improve and expand our engagement with this larger group of customers in arrears, to prompt their

payment, put them in a payment plan or agreement, avoid a turnoff for those customers, and overall avoid them from falling farther into arrears.

So to do that, this includes expanding our capacity for outreach with these customers through email and text, as well as making live calls to customers, which is a new approach, all of which have been proven and cost-effective based on our current pilots. The investments also include increasing our field staffing to engage customers in the field where we would work with them on a payment plan or take payment, and if we weren't able to do that, we would turn off service as a last resort.

So this additional capacity allows us to engage this larger group of customers in arrears. And that engagement will also drive customer inquiries. And so as we engage with these customers, it's important we manage wait times at the call center. We must work through payment plans with those customers and reconnect their service. And so we are scaling our call center staff and adding staff to the team that manages escalated complaints so we can manage response times and prevent backlogs.

We're also proposing some investments in enhanced training of this staff, so we can support these complex customer interactions that again, we expect to rise significantly.

Overall, we're seeking investments to address the arrears situation because our arrears balances impact not only those customers in arrears but also the larger communities we serve. And they impact really all customers. Every dollar we collect through engagement with customers in arrears results in lower borrowing costs and uncollectible bills, both of which can put pressure on high bills for all customers.

And because this is so impactful, we have decided to address this issue with urgency during the current rate plan. And as a result, we began hiring staff requested in this rate request early and incurring additional vendor communication costs in '24 and '25. And we expect to hire a significant number of the staff requested in the first rate year of this case in '24 and '25. Okay. Any questions on arrears?

I'm going to move to billing, the

other area that we're expanding our workforce. So we're proposing staff to continue our efforts on resolving billing issues and other back-office work more promptly. Over the past few years, as many of you know, we've invested in all new AMI technology for all of our customers, a new customer service system, and we've facilitated great improvements in billing accuracy and timeliness in this space. We've seen a decrease from about 12 percent of estimated bills on a monthly basis to one percent, and about a 60 percent reduction in aged, escalated, and delayed bills just from the start of the current case through all these improvements.

But there's more to do, and customer and stakeholder expectations continue to be high. We have new performance metrics approved in the last case, and there has recently been new legislation approved requiring resolution of delayed bills within 90 days. Both underscore the need for the company to add resources to resolve timely and on an ongoing basis the smallest percentage of overall accounts that require action.

Overall, the investments in the

billing space include investments in a couple areas. Again, we mentioned billing exception resolution, field staff to gain access to customer premises when we need access to require resolution of these issues, a dedicated team focused on governmental customers served by the New York Power Authority due to their complex billing scenarios and unique relationship -- billing relationship with the company and NYPA, and also their growing clean energy portfolios. We're also making investments to support additional staff for those -- the teams that support energy service companies, rate consultants, and those that manage escalated complaints.

So that's our efforts to expand the customer ops workforce to address customer needs. Are any questions there? I'll go to the next slide.

MR. KRAMER: Yeah, Mike. Hi. This is Steve Kramer from the Department of Public Service. I know in the past the Company has had to do some manual billing in certain circumstances. Has a new CSS eliminated that need, or are manual bills still being rendered?

MR. MURPHY: There are no manual bills

being rendered. Even our most complex bills are produced through the system.

MR. KRAMER: Okay. Thank you.

ALJ KERSEY: Hi. This is Tara Kersey. I just wanted to confirm that there is no proposal to close any customer service centers?

MR. MURPHY: There is no proposal to close any customer service centers at this time. Correct.

ALJ KERSEY: Thank you.

MS. OSTROVSKAYA: Hi. Nora Ostrovskaya, MTA. Can you elaborate on rate consultant inquiry? Like, what exactly do you mean by that? What kind of resources?

MR. MURPHY: So we have a team that manages inquiries from rate consultants that work on behalf of customers to identify issues with customer bills. Really any kind of sort of third-party manager that supports customers. Many of these submit a lot of inquiries. They are something that we manage and in some cases get -- those inquiries go to the Public Service Commission and get worked under the quick resolution process that that the Public

Service Commission manages. Those have grown with AMI metering. There's a lot more access to data that these rate consultants have to question potential bills that require review. And so we want to make sure we have the staff to address those issues more promptly.

MS. OSTROVSKAYA: Thank you.

MR. MURPHY: You're welcome.

MR. COLLAR: Hey, Mike. This is Gregg Collar with you -- Gregg Collar. I don't think I might be on the record. C-O-L-L-A-R, for Utility Intervention Unit. I may have missed it, but could you speak more to the increased field and back office staffing? What is the -- is that more for -- is that collection purposes, or is that some other work that's being proposed to be performed, particularly the field workers?

MR. MURPHY: So the majority of field staff being hired is for collections purposes. That's the first bucket. And then in the area of resolving back-office issues, but primarily billing exceptions, there is a -- part of the resources being requested is a team to address no access to customer

premises, particularly to work through a legal process that we call replevin that -- where a court can give us an order to get access to a premise. This is required in mostly cases when customers aren't paying us, but also when customers have not allowed us in to resolve a meter issue, and we can't bill that customer accurately. We're seeking some field staff to work that as well.

And then the back-office staff that is not field staff, again, is working on these escalated cases, working on billing adjustments, all of the work that we have today that we want to make sure that we can do more promptly and address growing amounts of that work.

MR. COLLAR: Thank you, Mike.

MR. MURPHY: Okay.

MR. LANG: Mike, this is --

MR. COLLAR: Thank you.

MR. LANG: -- Kevin Lang. Can I just ask a follow up to that, because I saw that in your testimony and I just didn't understand it. So I get you have situations where you have a -- a malfunctioning meter or it's not communicating or

there's some -- some issue. I always understood replevin was where you are actually terminating service and you want your meter back because that's the way to terminate service. But where you have a meter problem that has to be fixed, could you just explain -- how does replevin work there, because replevin is for you to recover your property. Does that mean you're not putting a new working meter in those locations? You're just cutting service altogether?

MR. MURPHY: Yeah. I mean, I think it could be a cut service and, you know, looking from that perspective and then get access to replace the meter, you know, through the customer. So I think it's a tool to help us make sure we can get in. These customers could be stealing service or made other adjustments to the equipment that we need to get in and look at. It could be safety issues. So we do think that this is a process that we -- we will use to get access to the meter. If anything, we can shut off the service and it also opens up the conversation to make sure we can get in and perform the necessary changes so that we can continue to bill

those customers if they are still using energy.

MR. LANG: So is this a new use, because I don't ever remember you doing replevin for this purpose before. Is this something new?

MR. MURPHY: I think we can get back to that part of discovery. I think -- I think we've done some of this in the past, but we'll take a good look and you can submit a discovery question on it.

MR. LANG: All right. I was just trying to understand it. Thanks.

MR. KONECNI: Kevin, this is Joshua Konecni. Just I would add, we do have instances where we are required by regulations to go in and change meters out, for example, specific timeframes. And we do have instances where customers refuse us access and in those moments we may have used replevin to get the access to comply with the Commission regulations.

MR. LANG: Okay. Thanks, Josh.

MR. CARROLL: Sorry, Mike. This is Craig Carroll from the Department. Yeah, can we go back to that previously? On the first couple buckets here, if you're hiring them currently, can you tell

us what percent of the proposed number of FTs have been hired to date? I think you're doing arrears management and contact center staffing currently.

MR. MURPHY: Yeah. Yeah. So overall the request is approximately 800 people -- about 900 people. Excuse me. 600 of them will be hired. The plan is to hire them in '24/'25 and we have hired approximately 350 of those at this time.

MR. CARROLL: I'm sorry I missed that.

MR. MURPHY: All subject to -- yeah, all subject -- so 896 of our 900 total is the proposal in the rate base. 600 plan to be hired in '24 and '25 and we've hired about 350 of them already.

MR. CARROLL: Okay. And are you still projected on track to get them hired before rate year 1?

MR. MURPHY: Yes.

MR. CARROLL: Thank you.

MR. MURPHY: You're welcome. Okay, so as we look to address meeting customer expectations, again, in this complex environment that we're in, we have to expand our work force. Yep?

MR. PASINELLA: Sorry for interrupting. This is Mike Pasinella with Pipeline Safety staff. If we could go back to the previous slide? I had two questions on the no access issues. The first question is, you mentioned approximately 900 incremental FTEs. How many of those 900 are related to the no access issues?

MR. MURPHY: Approximately 25.

MR. PASINELLA: Approximately 25, okay. Second question is, with the additional 25 incremental, approximately, FTEs to address no access issues, does the company plan on improving upon its current procedures in the sense of you're responding, I think it says 45 days, to remedy accounts with no access. Is the plan for Con Edison to continue business as usual efforts or to improve upon that 45 day threshold with this request?

MR. ACEVEDO: Excuse me. This is Enver Acevedo for the company. I believe what Mike Pasinella is referring to is a proposal. Well, not really a proposal. A position that staff had taken with respect to addressing no access issues within a certain period of time. What Mike is referring to

and the FTEs he's referring to is the current, you know, the current threshold or time amount for addressing no access issues. What Mike, I think, is, Mike Pasinella's referring to, is -- is further decreasing and the additional FTEs that were proposed for, or raised really, for further decreasing that 45-day threshold, that's different, separate, from what Mike's talking about. So I just want to make that clear.

MR. PASINELLA: So I guess my question will be changed to, of those 25, what's being done differently, I guess is my question.

MR. ACEVEDO: So again --

MR. PASINELLA: With the additional 25 incremental FTEs.

MR. MURPHY: So this process that we use when we need to get access to a premise and we've exhausted our efforts to get access, we can go to the court and get the right to work with a city marshal and, you know, access the premises, right? So that's the core process we use. We have staff that does that today. That staff does this. That work staff process for both collections and gas safety

situations in active accounts specifically. The staffing associated with those two buckets, collections and staff, for that court-ordered, working with a marshal, is not changing, and so the additional 25 staff is now going to work on no access cases that are resulting from filling these exemptions. So we're adding staff but not changing the staff currently in place to work on those inactive gas cases. And so as a result, there's no -- there's no proposal in this case to lower any thresholds associated with addressing those.

MS. KERSEY: And this is Tara Kersey. I just want to confirm that's Mr. Acevedo speaking?

MR. MURPHY: That was Mr. Acevedo prior to me, and everything after that was Mike Murphy.

MS. KERSEY: Oh, sorry. Sorry, Mike. We just want to get it for the transcript. Okay, so Mike Murphy. Thank you.

MR. PASINELLA: No further questions, Mike. Thank you.

MR. MURPHY: Thank you. Okay, slide 15, capital programs. So again, we're investing in

technology as well. There's really two categories we're working to maintain and improve the systems which support all the critical services we provide to customers, so I'll go over that first.

You know, we have to -- we need to make continued investment in our customer service system, which we implemented in 2023. That's ongoing spend to implement new regulatory and rate programs, as well as ongoing enhancements to address emerging business changes. So we have some -- some investments allocated for that, all focused on improving service to customers and implementing regulatory initiatives.

In addition, the platform that we implemented, which is a vendor product, is on a five-year upgrade cycle, and as a result, a planned upgrade to maintain the vendor support and security of the product is proposed to begin in 2028. So there's some funding there.

Also, we're looking to modernize systems that we've been working on over the past couple of years and go into this case as well. So think about retail access systems that support energy

service companies and allow customers to choose a commodity provider, as well as our call center technology, both to maintain and support vendor support and also security in those systems.

So in addition to maintaining those critical services, we have some investments planned for enhancing service to our customers. We are continuing to invest in a web portal for clean energy developers and customers that are on value stack rates to improve the experience for those customers, continuing our efforts on automation of back office work, supporting cost avoidance and fast resolution for customers, and we are seeking investment in an engagement platform for customers that would help us bring all the information we have in our company about customers into one key platform that our employees can use to more quickly resolve inquiries, which is a utility best practice and for the next evolution after the customer service system.

Finally, we're making some investments to address privacy and preferences of customers on how we use their data and how we store it. It's become an emerging issue that customers are really

interested in and we need to comply with various laws and regulations around that, and various continued updates on digital channels for customers, such as web and mobile apps to keep those viable and meeting our customers' expectations.

Any questions here? Okay, slide 16.

And the last category of estimates is our -- investments that support our vulnerable customers. Again, three key areas here. First, the outreach region and education. We've had a long standing outreach and education program, which incorporates us being in the community and also supporting customers with communications, and so we want to add more messaging in different languages for these customers. We've been doing this for a number of years, but we're seeking to do additional languages and more content in various languages. So that's detailed in our testimony.

We're also increasing one additional staff member to meet increasing demand for community events and, you know, our focus really there is to be out more in the community. We have great demand for that. Our community engagement is popular and we're

getting more requests, so we want to be able to be out in the community, specifically in the disadvantaged communities.

We're also seeking some investments to work with a vendor to use a tool to identify customers that might be eligible for the EAP program, the energy affordability program, where we provide bill discounts to customers. So identifying them and really engaging them to get on the program.

That's the outreach and education request. In the energy affordability program --

MR. LANG: I'm sorry, it's Kevin.

MR. MURPHY: Yes. Yes.

MR. LANG: Before you go beyond the outreach and education, I just wasn't clear on when you talked about the expanding languages. In, I think it was the last case, the company agreed to start putting out materials in, maybe, it was five or six languages. So when you talk about expanding languages, is it going beyond those to even more languages?

MR. MURPHY: Yes, I think there's two components of this. I mean, we talked about in our

last case that it's really a journey for the company to fund every communication in every language spoken in New York City. It is extremely expensive.

MR. LANG: Right.

MR. MURPHY: So we were able to, with the investments in the last case we had, we were able to go to certain languages for certain material and, you know, certain brochures in five or six languages. With the additional investment we're seeking, we can do more languages and more communications. So it'll be a combination of adding some more languages and targeting some additional communications for being multilingual, if that makes sense.

MR. LANG: Yeah, no, that does. Thanks for the clarification.

UNIDENTIFIED SPEAKER: I have a question. (Indiscernible) Center for Justice Office. Are you guys still doing out-of-the-house for these services or in-house at this point? Or are you thinking of going in-house for translation service and material?

MR. MURPHY: So we use vendor services primarily to do these -- these translations. In some

cases we have in-house translators that we can -- we can use for quick turnaround, but we do have robust vendor relationships which help us do the translation as well.

UNIDENTIFIED SPEAKER: Thank you.

MR. MURPHY: You're welcome. Okay, in the area of the energy affordability program, we're proposing adjustments to support the program. Again, this provides bill discounts to our most vulnerable customers. Overall, the past few years, the program has grown in scope and complexity and we need some additional resources required to ensure that customers are enrolled timely. So the program enrollment occurs primarily through matching municipal agencies. That process is performing as designed. No issues there. But we've added over the past few years, with the state working group, the ability for customers to self-certify, provide documentation that they are eligible. The company must review those applications, look at the documentation, and make a determination and communicate with those customers about their enrollment in the EAP. So this has grown and we need

just a few employees -- a few additional staff members to help us make sure that we can keep up with these applications and avoid backlogs. So we think that these investments will help us do that. Also, we request proposing some small management staff increases to make sure the program is operating effectively and to support expansions of the EAP, you know, working with the working group that is set up across the state. So those are the EAP investments.

Questions there?

Okay, and the last one is an affordable, multifamily electrification pilot. So this is a pilot seeking to offset costs through bill credits to tenants in affordable housing where there is a cost shift that occurs when their buildings move from fossil fuel heating that is not paid by the tenant to decentralize in-unit heat pumps, which are tied to tenant meters. So the program both supports equipment incentives that will be funded through our new efficiency New York funds which will help the multifamily buildings install the heat pumps, but the pilot is really focusing on what we call non-regulated buildings, or naturally occurring

affordable buildings, meaning they're not regulated. They don't have the sort of regulations on rent, and so as a result, these costs sort of immediately shift to customers when these in-unit electrification electrified heat pumps are installed. So we're proposing to study this at the proposed bill credit that can support mitigating those cost shifts in these buildings. This would be eligible to customers who are within those buildings who are on the energy affordability program, but the credits would be, sort of, separately and in addition to any EAP credits they receive. The objective here is to make sure that we can study this issue on a small scale, get detailed information to inform the rest of the state about heating cost shifts as we electrify multifamily buildings, and really support the development of policy solutions. We're seeking a six-year pilot here, focusing on 400 units in 50 buildings.

All right, any questions for me overall about customer experience investments?

MR. RATH: This is John Rath with New York Geo. Can you tell me if those heat pumps are air source or ground source?

MR. MURPHY: These are air source heat pumps.

MR. RATH: Thank you.

MR. MURPHY: You're welcome. All right, I'll turn it over to Bill Atzl for the last piece.

MR. ATZL: I'm Bill Atzl, director of rate engineering for the company and I'll take you through some rate and tariff information. Next slide, please.

So this slide highlights the main redesign proposals for electric and gas which balance cost-based rates with customer bill impacts. To start with electric, we addressed the class revenue surpluses and deficiencies that were identified in our embedded cost of service or heat cost study. To mitigate bill impacts, we propose to realign rate year revenues based on one-third of those surpluses and deficiencies in a revenue neutral manner. Our intent is to further realign revenues based on the remaining surplus and deficiency amounts in subsequent years.

We proposed increases in customer

charges to move them closer to customer costs as determined in the heat cost study. For demand built classes, we evaluate high tension/low tension differentials and reset them in certain classes to better align those differentials with the results of the heat cost study.

We've updated our seasonal rate study and reset seasonal differentials in certain classes. Also, in demand built classes, we applied revenue increases to fixed and demand rates to reflect the fact that our system costs are mainly fixed and demand related.

And then in our last rate case, we agreed to implement a price guarantee for a limited number of heat pump customers who take service under our optional demand based rate. That's known as the SC-1 rate four in our tariff. In this case, we're proposing to extend that price guarantee and to eliminate current participation caps.

With respect to gas, similar to electric, we addressed the class revenues, surpluses, and deficiencies identified in the heat cost study. In gas, however, we are realigning revenues based on

one-sixth of the surpluses and deficiencies due to the splitting of the SC-3 residential class, which I'll touch on in just a couple of minutes.

We've proposed increases in minimum charges to move them closer to customer related costs determined in the heat cost study, and we're continuing a ten-year phase out of declining block rates in SCs 2 and 3 that began in our last rate case. So the rate year in this proceeding, 2026, will represent the fourth year of that effort.

Then also, as agreed to in the last case, we've made a proposal to establish separate gas delivery rates in the SC-3 residential heating class. So it's separate rates for buildings with one to four dwelling units, and more than four dwelling units. This is based on a heat cost study in which these two groups of customers are costed separately.

The results of that heat cost study are a revenue deficiency in the one to four dwelling unit customers and a revenue surplus for buildings with more than four dwelling units. We're proposing to realign revenues based on one-sixth of these values to mitigate customer bill impacts.

Moving on to the next slide. This is an overview of the rate increases for all three rate years and as Kelly had mentioned, we have the proposed 1.6 billion increase in electric revenues, and 440 million increase in gas revenues for rate year one. The electric increase equates to about 11.4 percent increase on a total bill basis, and to determine that, we also include estimated supply costs for both full service and retail access customers, and that equates to an 18.1 percent increase in delivery revenue.

In gas, the revenue increase is a 13.3 percent increase on the total bill basis, also including supply costs for both full service and retail access customers, and that equates to an 18.8 percent increase in delivery revenue. And then in addition to the one-year rate proposal, the company has provided financial information, including revenue requirements, for the subsequent two years to facilitate discussions regarding a multiyear settlement. The rate year two electric revenue requirement is 930 million, and rate year three is 880 million, and the total bill and delivery

percentage increases for those two years are provided as well. We've also determined that these increases could be implemented on a levelized basis over a three-year rate plan at about 1.26 billion per year, which would serve to smooth out the customer impacts.

Similarly for gas, the rate year two revenue requirement is 265 million and rate year three is 165 million. Again, the total bill and delivery percentages for those two years are provided and the three-year levelized increase is 335 million.

Any questions before I turn it back over to Josh? Okay, Josh.

MR. LANG: I have one question that probably goes to you because it sort of covers everything. Mike Murphy talked about approximately 900 additional FTEs for his units collectively. I know in going through testimony, even though Atzl in his group had talked about some additional FTEs, certainly there was some in gas and electric. Do you guys by any chance have a total number of additional FTEs that you're seeking that's readily handy? If you don't, I can follow up. I just figured I'd ask if you had the number.

MR. KONECNI: We might. Give us one second. Kevin, I think you're going to have to ask a follow-up question on that. I don't think we have that readily available.

MR. LANG: Okay. All right. I figure I'd ask if you have it. Thanks.

MR. KONECNI: Thank you. Your Honor, that concludes the company's presentation.

THE COURT: Thank you, Josh. Thanks to Con Edison for the presentation and to everyone for their participation today. We look forward to working with you all.

And with that, the conference is adjourned. Have a great afternoon everybody.

(Off the record)

(The hearing concluded at 2:22 p.m.)

STATE OF NEW YORK

I, MELANIE BERRY, do hereby certify that the foregoing was reported by me, in the cause, at the time and place, as stated in the caption hereto, at Page 1 hereof; that the foregoing typewritten transcription consisting of pages 1 through 77, is a true record of all proceedings had at the hearing.

IN WITNESS WHEREOF, I have hereunto subscribed my name, this the 9th day of March, 2025.



MELANIE BERRY, Reporter